

APAC Food & Beverages

Eastroc Beverage Group Co Ltd

Rating

Market-Perform

Price Target

605499.CH

133.00 RMB (142.00 OLD)

9980.HK

131.00 HKD (138.00 OLD)

31 July 2026

Price Target Downgrade



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Eastroc Q2: Out of Energy

Eastroc reported a weak Q2 last night with 11% revenue growth clocking the slowest rate since IPO and missing expectations by HSD. The miss narrowed slightly at OP (+14% YoY) with better than expected COGS enhancing margin by ~400bps, and NP came in +15%, c. 5% below us and consensus. Energy drink top line growth was the biggest issue, dropping from a pretty consistent DD run rate to only 1% in Q2 and, concerningly, management flagged increasing competition as a major issue. To mitigate the weak result, Eastroc announced a 10% H-share buy back (despite just listing in HK a few months ago and a very thin free float), raised their interim dividend to 76% from 55%, and set a minimum 80% payout through 2028.

Beyond the Energy segment (69% of Q2 revenues), Electrolyte growth also moderated slightly from 13% in Q1 to 11% in Q2, but the Other segment was still growing rapidly at 97% (from 120% in Q1) driven by RTD Tea offerings which grew 2x in H1, albeit off a low base. In Q3, we expect their trajectory of Energy Drink revenues to bounce back, but for the margin upside to be partially offset by World Cup related marketing spend.

We expect management's strategy of becoming a "soft drinks platform company", reiterated on today's call, to exert a material medium term drag on margins given that non-energy Gross Margins are 16-35% points lower outside the Energy segment in FY25 and these business lines remain sub-scale. On the plus side, we were glad to hear management's focus on innovating behind low/no sugar health and wellness trends.

Investment Implications

We maintain **Market-Perform** and **cut Price Target to RMB133/HK\$131** per share reflecting Q2 results and 4/6/6% reduction in our FY26-28 EPS estimates, while maintaining our multiple target at 15.7x NTM P/E for A-share and 13.3x for H-share ([model](#)).

Adjusted EPS	F25A	F26E	F27E
605499.CH (RMB)	8.49	7.06	7.85
OLD	--	7.37	8.34
9980.HK (RMB)	8.49	7.06	7.85
OLD	--	7.37	8.34

Financials	F25A	F26E	F27E	CAGR
Net Earnings (M)	4,415	5,128	5,672	13.3%
Net Debt/EBITDA (x)	(1.27)	(2.45)	(2.56)	42.3%

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	16.3	19.6	17.6
Div Yield (%)	3.8	4.1	4.5
EV/EBIT (x)	16.6	14.3	12.8
EV/EBITDA (x)	15.2	13.1	11.6
PEG Adjusted (x)	0.5	(1.2)	1.6
PEG Reported (x)	0.5	(1.2)	1.6
Reported P/E (x)	16.3	19.6	17.6

Source: Bloomberg, Bernstein estimates and analysis.

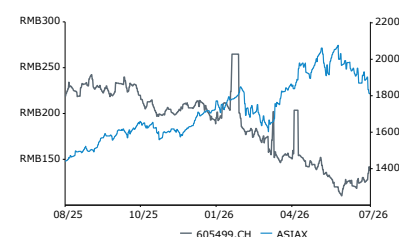
See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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Close Date	30 Jul 2026
605499.CH Close Price (RMB)	138.20
Price Target (RMB)	133.00
Upside/(Downside)	(4)%
52-Week Range	243.83/108.80
ASIAX	1,808.17
FYE	Dec
Div Yield	2.8%
Market Cap (RMB) (M)	99,636
EV (RMB) (M)	84,988
Performance	YTD 1M 6M 12M
Absolute (%)	(32.8) 12.0 (28.2) (36.1)
ASIAX (%)	10.6 (9.0) 3.5 24.1
Relative (%)	(43.4) 21.0 (31.7) (60.2)
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



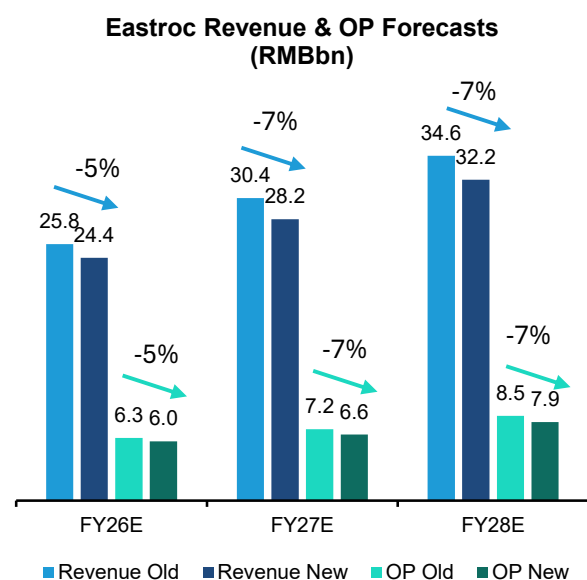
DETAILS

EXHIBIT 1: Eastroc 2026 Results Summary

(in RMB million unless otherwise stated)	FY25Q2	FY26Q2	YoY % / bps	Bernstein	Delta
Gross Revenue	5,889	6,555	11.3%	7,339	-10.7%
COGS	(3,197)	(3,298)	3.1%	(3,962)	-16.8%
Gross Profit	2,691	3,257	21.0%	3,377	-3.6%
% margin	45.7%	49.7%	399	46.0%	367
Selling Expenses	(873)	(1,126)	29.0%	(1,124)	
as % of Revenue	-14.8%	-17.2%	(236)	-15.3%	
Tax & Others	(63)	(73)	16.6%	(78)	
Admin & R&D Expenses	(154)	(226)	46.1%	(185)	21.8%
Operating Profit	1,602	1,832	14.4%	1,989	-7.9%
% margin	27.2%	28.0%	75	27.1%	84
Other Income	46	(83)	-280.8%	46	-280.8%
Net Finance Income	36	21		36	
Others	85	285	236.4%	85	236.4%
Profit before Tax	1,768	2,055	16.2%	2,156	-4.7%
Income Tax Expense	(374)	(444)	18.9%	(456)	-2.5%
% effective tax rate	21.1%	21.6%	49	21.1%	49
Profit after Tax	1,395	1,610	15.5%	1,700	-5.3%
Net Profit	1,395	1,609	15.4%	1,701	-5.4%
% margin	23.7%	24.6%	87	23.2%	138
Earnings per Share (RMB)	2.68	2.19	-18.3%	2.32	-5.7%

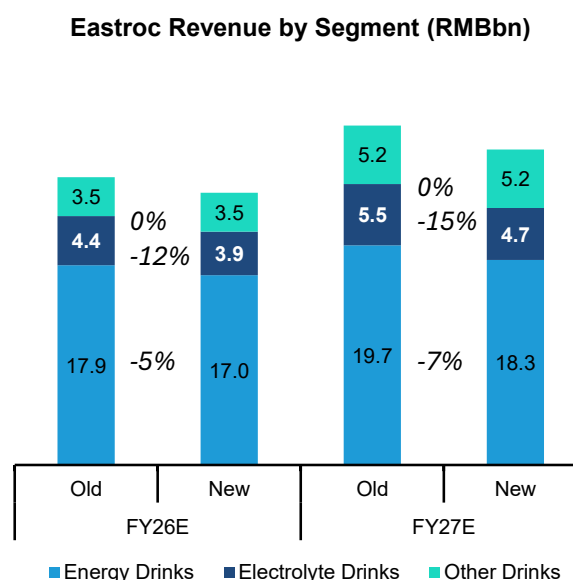
Source: S&P Capital IQ, company reports, Bernstein analysis and estimates

EXHIBIT 2: We have cut our estimates by 5% in FY26 and 7% in FY27-28



Source: Bernstein analysis and estimates

EXHIBIT 3: The revenue estimate cuts are across both energy and electrolyte drinks

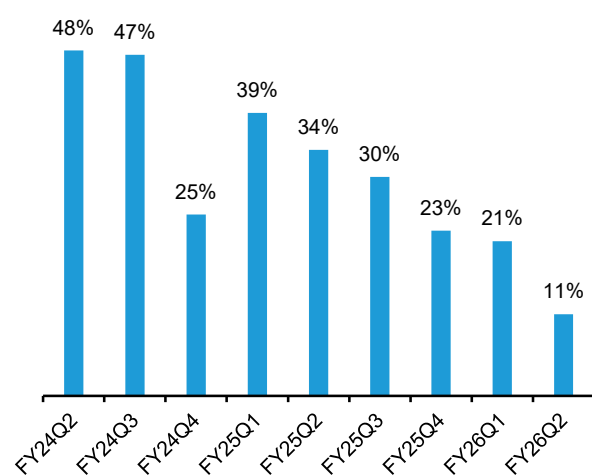


Source: Bernstein analysis and estimates

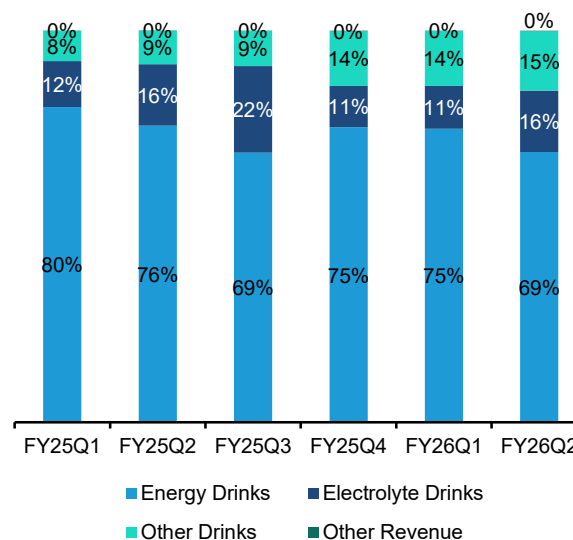
EXHIBIT 4: **Eastroc 2026 Segmental Summary**

(in RMB million unless otherwise stated)	FY25Q2	FY26Q2	YoY % / bps	Bernstein	Delta
Total Revenue by Segments	5,889	6,555	11.3%	7,339	-10.7%
Energy Drinks	4,460	4,525	1.4%	5,129	-11.8%
Electrolyte Drinks	923	1,026	11.2%	1,200	-14.4%
Other Drinks	503	991	97.3%	1,005	-1.3%
Other Revenue	3	12	285.2%	5	140.7%
Drinks Revenue by Channels	5,885	6,543	11.2%		
Distribution	5,067	5,405	6.7%		
KA	632	793	25.5%		
Online	186	344	84.3%		
Other Channels	0	1	193.6%		
Drinks Revenue by Regions	5,885	6,543	11.2%		
South	1,720	1,769	2.8%		
Central	1,201	1,478	23.0%		
East	1,053	1,054	0.1%		
West	940	1,126	19.8%		
North	753	821	9.0%		
Others	217	294	35.8%		

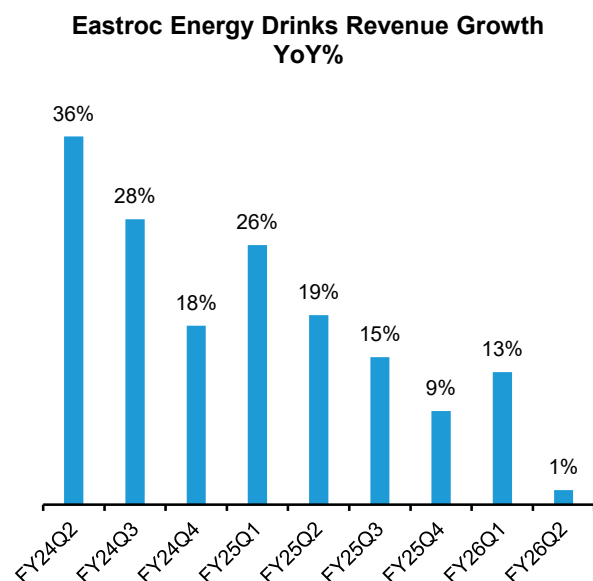
Source: S&P Capital IQ, company reports, Bernstein analysis and estimates

EXHIBIT 5: **Eastroc topline growth dropped to 11% in Q2****Eastroc Total Revenue Growth YoY%**

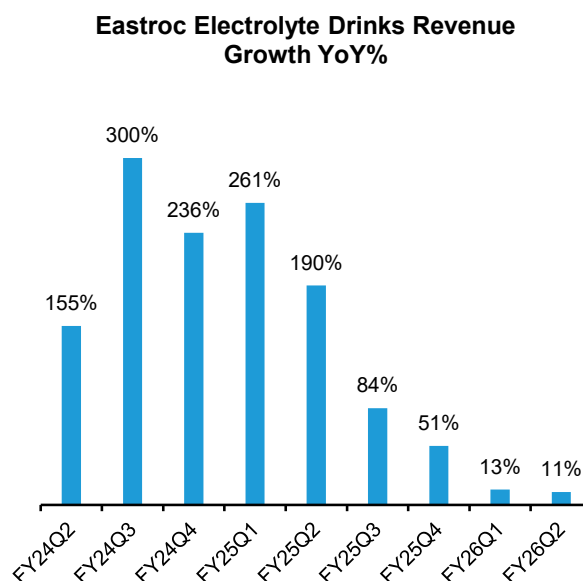
Source: company reports, Bernstein analysis

EXHIBIT 6: **Energy Drinks revenue share narrowed significantly this quarter and Electrolyte Drinks & Other Drinks (Tea) continued to widen****Eastroc Revenue Split by Segments**

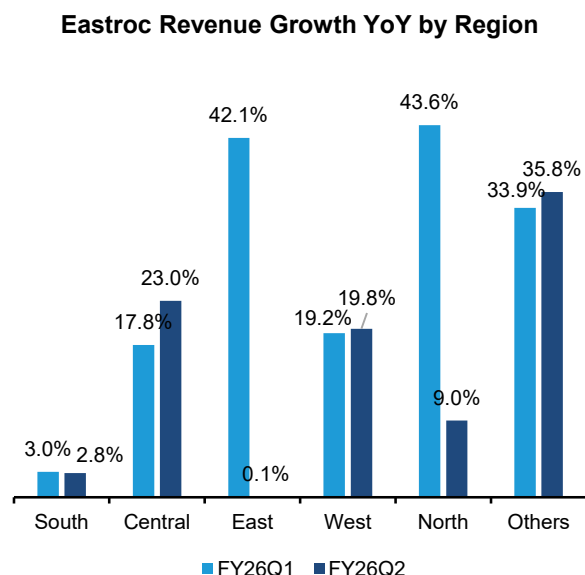
Source: company reports, Bernstein analysis

EXHIBIT 7: Energy Drinks revenue growth dropped significantly to 1% this quarter

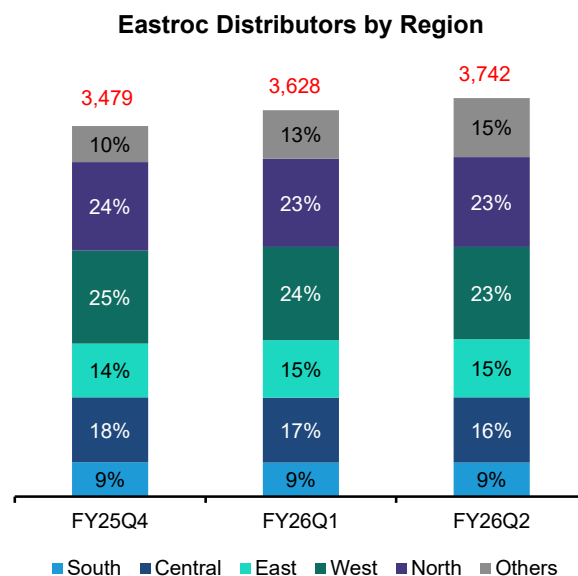
Source: company reports, Bernstein analysis

EXHIBIT 8: Electrolyte Drinks revenue growth also slowed down sequentially

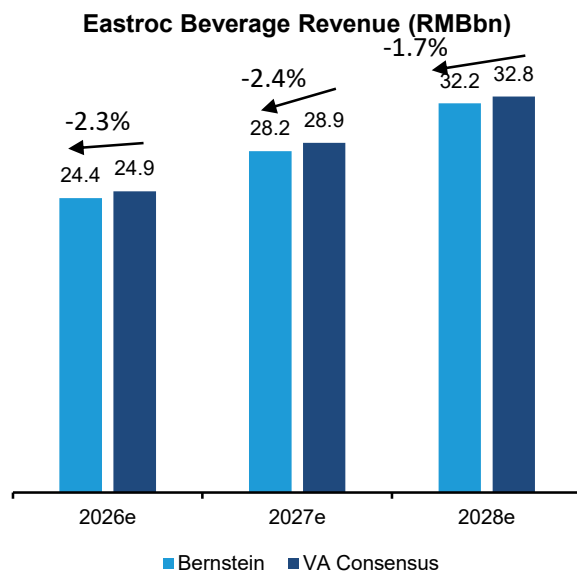
Source: company reports, Bernstein analysis

EXHIBIT 9: Growth slowed materially in most regions with the exception of Central which saw sequential acceleration

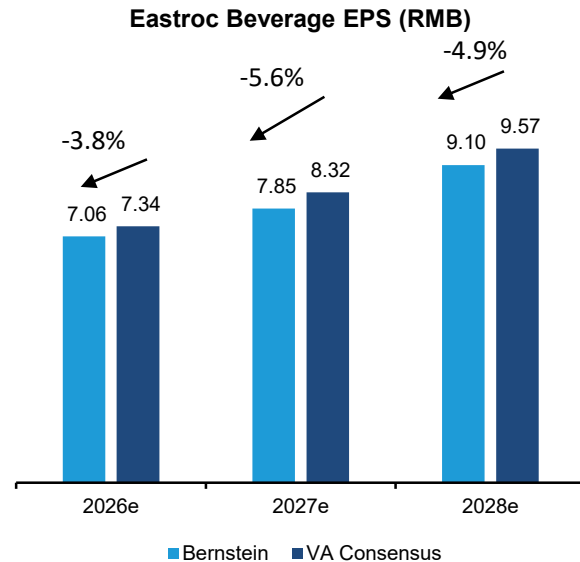
Source: company reports, Bernstein analysis

EXHIBIT 10: The growth of Eastroc's distributor team continued to moderate in Q2

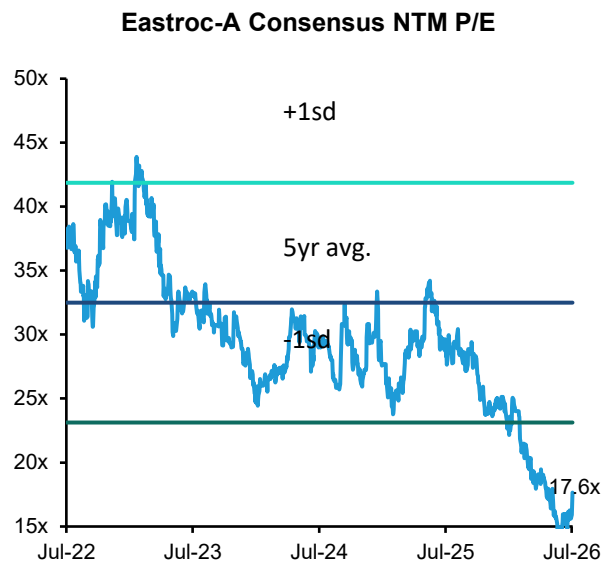
Source: company reports, Bernstein analysis

EXHIBIT 11: Our Eastroc revenue estimates are 2% below consensus for the next three years

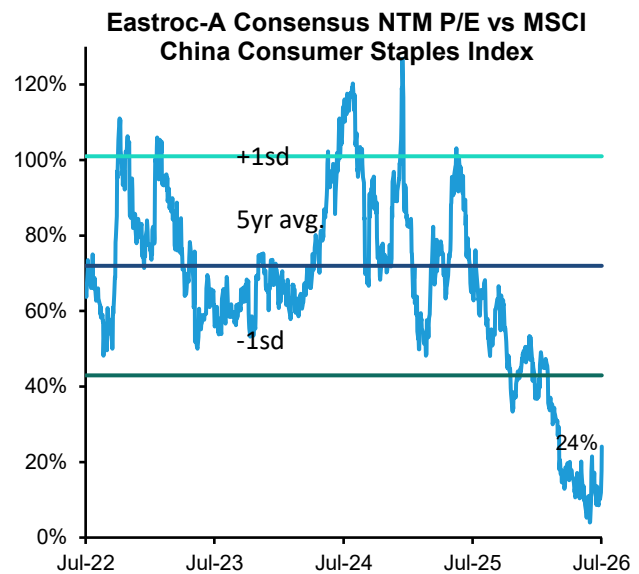
Source: S&P Capital IQ's Visible Alpha, Bernstein analysis and estimates

EXHIBIT 12: And 4-6% below in EPS estimates

Source: S&P Capital IQ's Visible Alpha, Bernstein analysis and estimates

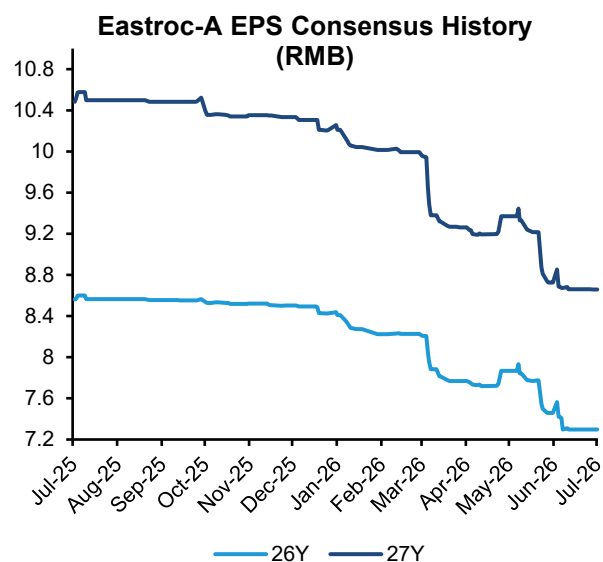
EXHIBIT 13: Eastroc-A is trading at 1.6x stdev below historical average multiple

Source: Bloomberg, Bernstein analysis

EXHIBIT 14: Its premium vs benchmark index is now 1.7x stdev below historical level

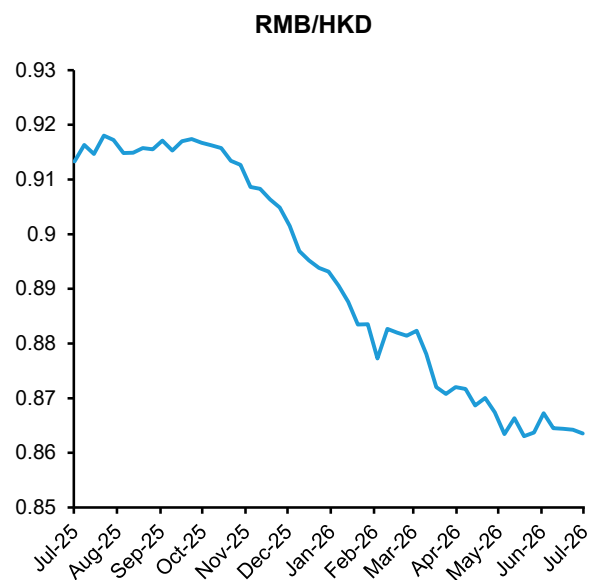
Source: Bloomberg, Bernstein analysis

EXHIBIT 15: **Eastroc-A EPS consensus has been coming down since May**



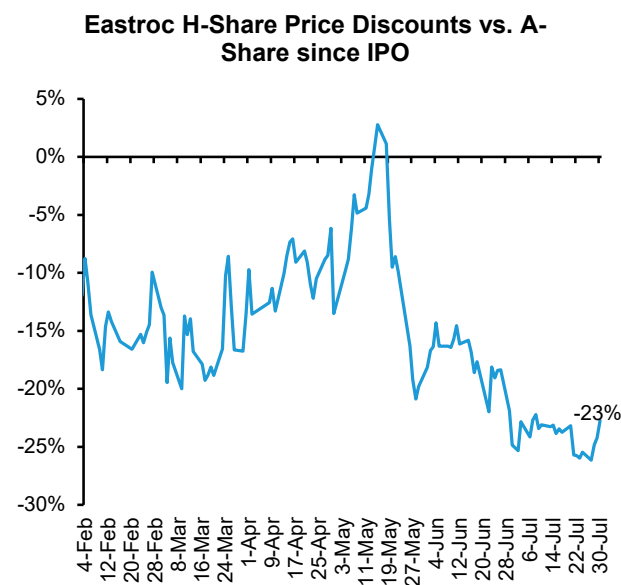
Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **RMB:HKD**



Source: Bloomberg, Bernstein analysis

EXHIBIT 17: **Eastroc H-Share price is now at 23% discount vs. its A-Share price**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 18: Eastroc Beverage Income Statement

Eastroc Beverage Income Statement								
(in RMB million unless otherwise stated)	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Gross Revenue	11,263	15,839	20,875	24,364	28,236	32,199	35,241	37,347
COGS	(6,412)	(8,742)	(11,501)	(12,878)	(15,135)	(16,853)	(18,458)	(19,666)
Gross Profit	4,851	7,097	9,374	11,486	13,102	15,345	16,783	17,681
Tax & Others	(121)	(160)	(219)	(257)	(282)	(322)	(352)	(373)
SG&A	(2,379)	(3,169)	(4,048)	(5,274)	(6,175)	(7,132)	(7,812)	(8,280)
EBIT	2,351	3,768	5,107	5,954	6,644	7,891	8,618	9,028
D&A	270	359	496	551	676	786	614	776
EBITDA	2,621	4,127	5,603	6,505	7,320	8,677	9,233	9,804
Others	228	339	478	538	538	538	538	538
Profit Before Tax	2,579	4,107	5,584	6,492	7,182	8,429	9,156	9,566
Income Taxes	(539)	(781)	(1,170)	(1,365)	(1,510)	(1,857)	(2,109)	(2,299)
Profit after tax	2,040	3,326	4,414	5,127	5,671	6,572	7,048	7,267
Attributable to:								
Non- controlling interests	-	(0)	(1)	(1)	(1)	(1)	(1)	(1)
Shareholders of the company	2,040	3,327	4,415	5,128	5,672	6,573	7,049	7,268
Basic EPS (RMB)	5.10	6.40	8.49	7.06	7.85	9.10	9.76	10.06
Total shares outstanding (mm)	400	520	520	726	723	723	723	723
Key Ratios								
Revenue growth %	32.4%	40.6%	31.8%	16.7%	15.9%	14.0%	9.5%	6.0%
EBIT growth %	33.7%	60.2%	35.5%	16.6%	11.6%	18.8%	9.2%	4.8%
Net profit growth %	41.6%	63.1%	32.7%	16.1%	10.6%	15.9%	7.2%	3.1%
Gross profit as % of Revenue	43.1%	44.8%	44.9%	47.1%	46.4%	47.7%	47.6%	47.3%
EBIT as % of Revenue	20.9%	23.8%	24.5%	24.4%	23.5%	24.5%	24.5%	24.2%
EBITDA as % of Revenue	23.3%	26.1%	26.8%	26.7%	25.9%	26.9%	26.2%	26.3%
Net profit as % of Revenue	18.1%	21.0%	21.2%	21.0%	20.1%	20.4%	20.0%	19.5%
ROIC %	19.5%	24.4%	23.7%	23.6%	25.0%	27.7%	27.7%	26.3%

Source: Bernstein analysis and estimates, company reports

EXHIBIT 19: Eastroc Beverage Balance Sheet

Eastroc Beverage Balance Sheet								
(in RMB million)	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Inventories	569	1,068	657	966	1,218	1,449	1,688	1,906
Trade receivables	66	81	91	101	116	133	145	154
Cash and cash equivalents	6,058	5,653	5,680	3,283	1,520	207	(482)	(950)
Others	2,076	5,904	8,960	8,953	9,005	9,058	9,099	9,127
Total current assets	8,769	12,706	15,387	13,302	11,859	10,847	10,450	10,237
Fixed assets	2,916	3,670	4,947	8,198	11,025	13,542	16,230	18,757
Debt investments	1,220	3,672	1,757	1,757	1,757	1,757	1,757	1,757
Others	1,805	2,629	4,629	4,629	4,629	4,629	4,629	4,629
Total non-current assets	5,941	9,971	11,333	14,585	17,412	19,928	22,617	25,144
Total Assets	14,710	22,676	26,721	27,887	29,271	30,775	33,067	35,380
Trade and other payables	2,016	2,770	3,110	3,251	3,501	3,692	3,870	4,004
Short term loans	2,996	6,551	6,630	6,630	6,630	6,630	6,630	6,630
Contract liabilities	2,607	4,761	5,974	5,974	5,974	5,974	5,974	5,974
Others	428	763	1,096	1,096	1,096	1,096	1,096	1,096
Total current liabilities	8,047	14,845	16,810	16,951	17,202	17,393	17,571	17,705
Long term loans	220	-	-	-	-	-	-	-
Others	119	140	487	487	487	487	487	487
Total non-current liabilities	339	140	487	487	487	487	487	487
Total liabilities	8,386	14,985	17,297	17,438	17,689	17,879	18,058	18,192
Total equity	6,324	7,692	9,424	10,449	11,582	12,896	15,009	17,189
Total equity and liabilities	14,710	22,676	26,721	27,887	29,271	30,775	33,067	35,380
Net Debt / EBITDA	(1.5x)	(1.1x)	(0.2x)	(0.5x)	(0.7x)	(0.8x)	(0.9x)	(1.0x)

Source: Bernstein analysis and estimates, company reports

EXHIBIT 20: **Eastroc Beverage Cash Flow Statement**

Eastroc Beverage Cash Flow Statement (in RMB million)								
	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Net income	2,040	3,326	4,414	5,127	5,671	6,572	7,048	7,267
Depreciation and Amortisation	270	359	496	551	676	786	614	776
Change in working capital	331	574	1,074	(177)	(18)	(56)	(73)	(93)
Others	640	1,530	191	7	(52)	(53)	(41)	(28)
Net Cash flows from operating activities	3,281	5,789	6,174	5,507	6,278	7,248	7,548	7,922
Acquisition of subsidiaries/business (net)	8	-	(356)	-	-	-	-	-
Net purchase of fixed assets	(916)	(1,684)	(2,262)	(3,803)	(3,503)	(3,303)	(3,303)	(3,303)
Others	150	(5,191)	(1,484)	-	-	-	-	-
Net Cash flows from investing activities	(758)	(6,875)	(4,102)	(3,803)	(3,503)	(3,303)	(3,303)	(3,303)
Dividends paid	(811)	(2,051)	(2,678)	(4,102)	(4,538)	(5,258)	(4,934)	(5,088)
Net borrowings	(35)	3,269	72	-	-	-	-	-
Others	(212)	290	(42)	-	-	-	-	-
Net Cash flows from financing activities	(1,058)	1,507	(2,648)	(4,102)	(4,538)	(5,258)	(4,934)	(5,088)
Foreign exchange rate impact on cash	(29)	32	(11)	-	-	-	-	-
Net change in cash and cash equivalents	1,465	421	(576)	(2,397)	(1,763)	(1,313)	(689)	(469)
Cash and cash equivalents at end of period	3,414	3,867	3,280	882	(880)	(2,193)	(2,882)	(3,351)
Bank Deposits	3,183	2,324	2,939	-	-	-	-	-
Cash and cash equivalents at end of period on B/S	6,597	6,192	6,219	882	(880)	(2,193)	(2,882)	(3,351)

Source: Bernstein analysis and estimates, company reports

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
605499.CH (Eastroc Beverage)	M	RMB	138.20	133.00	(60.2)%	RMB	8.49	7.06	7.85	16.3	19.6	17.6
OLD				142.00				7.37	8.34			
9980.HK (Eastroc Beverage)	M	HKD	124.00	131.00	NA	RMB	8.49	7.06	7.85	14.6	17.6	15.8
OLD				138.00				7.37	8.34			
ASIAx			1,808.17									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Eastroc Beverage Group Co Ltd**

We set a RMB133 price target for Eastroc's A-share using an NTM P/E multiple of 15.7x against our forward NTM+1 EPS estimate of RMB8.5. This compares to an implied 15.8x FY27E P/E based on our DCF (7.5% WACC, 2.5% TVGR).

We set a HK\$131 price target for Eastroc's H-share using an NTM P/E multiple of 13.3x against the same forward EPS estimate, applying a 15% A-H premium to our A-share multiple target.

RISKS**Eastroc Beverage Group Co Ltd**

Potential upside risks to our Price Target for Eastroc Beverage:

- Non-energy drink category sales reach scale economies tipping points sooner than anticipated resulting in materially faster gross margin expansion and less overall margin dilution
- Company materially improves revenue per distributor in laggard regions, resulting in significantly improved route to market and selling cost leverage
- Slowing, or reversal of, health and wellness trends and the resultant switch to low/no sugar beverages results in materially faster growth of the Energy category than anticipated

Potential downside risks to our Price Target for Eastroc Beverage:

- Introduction of sugar tax in China resulting in either lower affordability of the company's core Energy and decreased demand (if passed on to consumers), or reduced producer pricing and margins
- The cost distribution expansion increases and/or the pace slows faster than anticipated
- Incremental raw material price shocks
- Deteriorating China macro negatively impacts consumer disposable incomes

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia

Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

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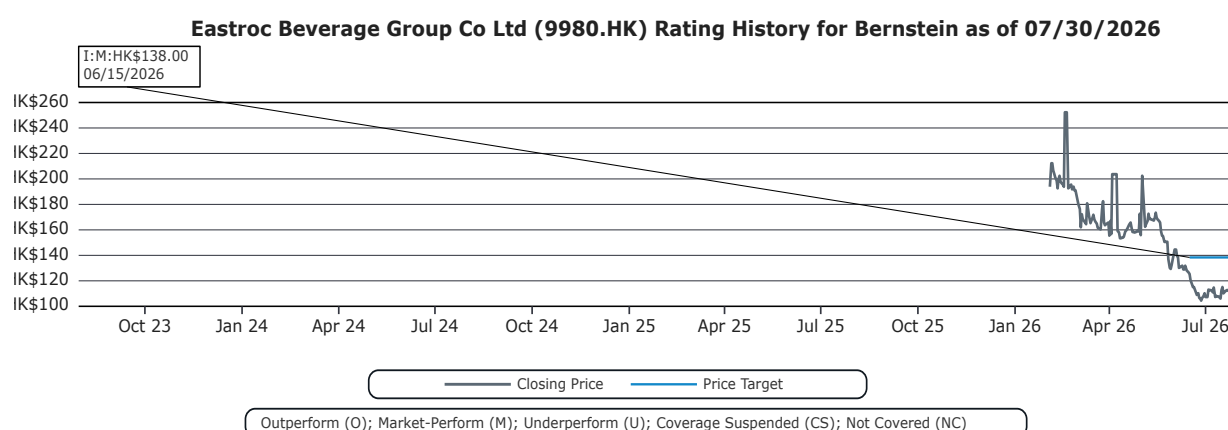
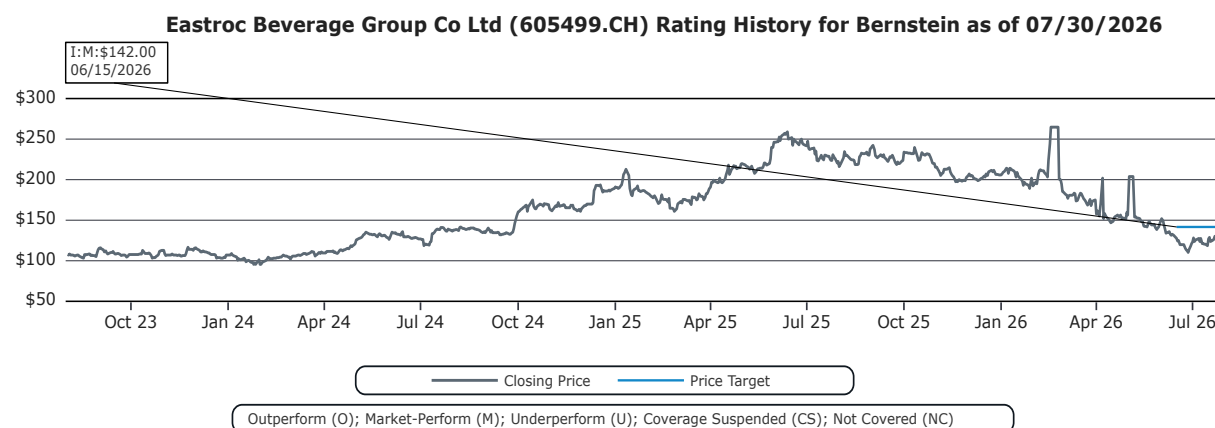
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